

26STCV14125 26STCV14125

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Division: Civil Law and Motion

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Case Number: 26STCV14125 Hearing Date: July 15, 2026 Dept: 311

SUPERIOR

COURT OF CALIFORNIA, COUNTY OF LOS ANGELES

Civil

Division

Central

District, Stanley Mosk Courthouse, Department 311

Tentative

Ruling

26STCV14125

MASTOORAH

BEDAR vs MERCEDES-BENZ USA, LLC

July

15, 2026

8:30

AM

NATURE OF PROCEEDINGS:

DEFENDANT MERCEDES-BENZ USA, LLC'S MOTION TO COMPEL BINDING ARBITRATION.

RULING:

The Court grants the Motion.

Plaintiff

and Defendant shall arbitrate the controversies between them including this entire action. This case is ordered stayed until such arbitration is had in accordance with this Order.

The Court schedules a

Status Conference re: Arbitration on July 16, 2027 at 8:30 a.m. in Dept. 311.

The parties shall file a Joint Report re: Arbitration at least 10 days before the status conference.

Defendant to give notice.

I.

BACKGROUND

On May 4, 2026, MASTOORAH

BEDAR (Plaintiff) filed a Lemon Law Complaint against MERCEDES-BENZ USA, LLC (Defendant), alleging Causes of Action under the Song-Beverly Consumer Warranty Act (Civ. Code §§ 1790-1795.8), along with a Claim for Violation of Tanner Consumer Protection Act—an extension of Song-Beverly and addressing sufficient repair attempts.

Plaintiff alleges leasing,

with warranty provisions, a 2023 Mercedes-Benz EQE 350 that Defendant manufactured, which had several defects, including Battery Management System and dangerous deceleration. Plaintiff further alleges that Defendant failed to repair the vehicle within a reasonable number of attempts and did not promptly replace it or make restitution.

On June 8, 2026,

Defendant filed the Motion to Compel Arbitration, on grounds including that it is an express third-party-beneficiary as to the Lease Agreement.

Plaintiff opposes, based upon

counterarguments such as questioning the contractual intent to benefit the manufacturer and asserting unconscionability.

II.

LEGAL STANDARD

Parties

petitioning to compel arbitration have the burden to prove the existence of a valid arbitration agreement by a preponderance of evidence, and parties opposing have the burden to prove by a preponderance of the evidence any fact necessary to a defense. (*Gonzalez v. Nowhere Beverly Hills LLC* (2024) 107 Cal.App.5th 111, 121.)

“Even

when the Federal Arbitration Act applies, state law governs such matters as who is bound by and who may enforce an arbitration agreement.” (*Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 614, fn. 7.)

And

even where a delegation clause clearly and unmistakably provides that the arbitrator shall have exclusive authority to resolve any dispute, a properly contested issue whether the parties entered into an agreement to arbitrate at all, is for the courts to decide. (*Mendoza v. Trans Valley Transp.* (2022) 75 Cal.App.5th 748, 776.)

To

determine whether parties seeking to enforce arbitration agreements waived a right to do so, California courts apply the same principles that apply to other contract types and no longer require prejudice in order to find waiver. (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 569.) Participating in litigation does not by itself waive a party's right to later seek to arbitrate the matter, but the request must be in a reasonable time, and at some point continued litigation justifies a waiver finding, as a fact question, considering the party's actions as a whole in determining whether the conduct was inconsistent with intent to arbitrate. (*Desert Regional Medical Center, Inc. v. Miller* (2022) 87 Cal.App.5th 295, 316, 321.)

Where

a court has ordered arbitration, it shall stay the pending action until an arbitration is had in accordance with the order to arbitrate, or another earlier time. (Code Civ. Proc., § 1281.4; *Mattson Tech., Inc. v. Applied Materials, Inc.* (2023) 96 Cal.App.5th 1149, 1161; *Twentieth Century Fox Film Corp. v. Superior Court* (2000) 79 Cal.App.4th 188, 192; *Heritage Provider Network, Inc. v. Superior Court* (2008) 158 Cal.App.4th 1146, 1152, 1154,

fn. 12.)

As

for law to be applied, California appellate courts are not bound to follow decisions of lower federal courts. (People v. Superior Court (2002) 103 Cal.App.4th 409, 431.) Trial court rulings are not binding precedent. (E.g., Schachter v. Citigroup, Inc. (2005) 126 Cal.App.4th 726, 738.) “The rules of court do not permit citation to Superior Court decisions as authority (Cal. Rules of Court, rule 8.1115(a)),...” (Huff v. Securitas Sec. Servs. USA, Inc. (2018) 23 Cal.App.5th 745, 758, fn. 2.) Rulings in other trial court cases are irrelevant absent some additional showing like the elements of claim or issue preclusion. (Drummond v. Desmarais (2009) 176 Cal.App.4th 439, 448.)

III.

ANALYSIS

Defendant seeks an Order

compelling arbitration based upon the subject Lease Agreement expressly referring to Defendant as being a third-party-beneficiary, citing Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324, 1339. Further, Defendant contends that there is no procedural unconscionability because the, “Lease contains Plaintiff’s signature on page 6, which states: “You have received and read all 10 pages of this lease carefully and agree to all if its terms,

INCLUDING THE IMPORTANT ARBITRATION DISCLOSURES ON PAGES 4 AND 5”. (Lease, Exhibit 2 to Ameripour Decl.)”

(Reply, 7:16-19.) As for substantive unconscionability, Defendant states that it cannot be based upon mere agreement to arbitrate, unsupported by any case law. As for statutory preemption, Defendant reasons that arbitration law is in harmony with section 871.20, and the parties’ agreed application of the Federal Arbitration Act would preempt any such arbitration interference.

Plaintiff primarily

asserts the following positions:

.

Defendant failed to competently

authenticate the arbitration agreement via an attorney declaration.

.
The dealer-drafted adhesion contract does not establish the mutual intent of contracting parties to make Defendant a third-party-beneficiary.

.
Equitable estoppel is inapposite as the claims are neither intertwined with the dealer contract nor within the scope of its arbitration clause.

.
Delegation of decisions to arbitrators does not include the standing question, which is a court issue.

.
Plaintiff signed an adhesion contract from the dealer and was not given any opportunity to opt out of the agreement or negotiate its oppressive terms.

.
Waiver of arbitration occurred, because Defendant opted into the statutory framework established by Code of Civil Procedure sections 871.20 through 871.30.

Parties seeking to compel arbitration meet their initial burden simply by reciting the terms of the governing provision, or by attaching a copy of the provisions, unless there is a dispute over authenticity that must be beyond merely contesting the preliminary showing. (Sprunk v. Prisma LLC (2017) 14 Cal.App.5th 785, 793; Ruiz v. Moss Bros. Auto Group, Inc. (2014) 232 Cal.App.4th 836, 846; Espejo v. So. Cal. Permanente Med. Group (2016) 246 Cal.App.4th 1047, 1060 ["defendants ... met their initial burden by attaching to their petition a copy of the purported arbitration agreement bearing ... electronic signature. Once ... challenged ..., defendants were then required to establish by a preponderance of the evidence that the signature was authentic."]; Condee v. Longwood Mgt. Corp. (2001) 88 Cal.App.4th 215, 219 [once petitioners allege that an arbitration agreement exists, the burden shifts to respondents to prove the falsity of the purported agreement, and no evidence or authentication is required to find the arbitration agreement exists].)

“[T]he nonsignatory bears the burden to establish he or she is a party to the arbitration agreement/provision covering the dispute.” (Jones v. Jacobson (2011) 195 Cal.App.4th 1, 15.) Intended third-party beneficiaries may enforce arbitration provisions. (Macaulay v. Norlander (1992) 12 Cal.App.4th 1, 7–8; Michaelis v. Schori (1993) 20 Cal.App.4th 133, 139 [agreement expressly included arbitration of claims as to the third-party-beneficiaries].)

There is no citable California opinion directly on point addressing a Lemon Law case and the issue of enforcing leasing agreement arbitration provisions against manufacturers addressed as being a third-party-beneficiary. (Cf. Ford Motor Warranty Cases (2025) 89 Cal.App.5th 1324, 1339 (Ford) [Dictum stating: “If the signatories had intended to benefit FMC, such a purpose would have been easy to articulate. They could have simply named FMC—directly or by class as the vehicle’s manufacturer—as a person entitled to compel arbitration. But they did not.”].) In the past, manufacturers unsuccessfully attempted to assert automobile dealers’ arbitration provisions that lacked any reference to the manufacturer. There is an opinion, addressing prejudgment interest, based on a finding that the case did not involve a warranty contract claim, because “the complaint does not allege a breach of the warranty; it alleges breach of ‘obligations under the Song-Beverly Act.’ ” (Townes v. Hyundai Motor America (2025) 117 Cal.App.5th 958, 973.) And, generally, retailers are not agents of manufacturers of sold products, but, for arbitration purposes in Lemon Law cases, exceptions could include allegations that the sold vehicles belonged to the manufacturer and not the dealer, the manufacturer financed the sales, and the manufacturer controlled or had direct interests in the sales as opposed to dealers transacting for their own account. (Ford, *supra*, 89 Cal.App.5th at pp. 1342–1343.)

Regarding unconscionability, it is debatable whether such factors even apply in this car leasing context. (See D.C. v. Harvard-Westlake School (2009) 176 Cal.App.4th 836, 864 [“Armendariz requirements apply to claims based on FEHA legislation, or another fundamental public policy associated with a constitution or any statute.”]; Giuliano v. Inland Empire Personnel, Inc. (2007) 149 Cal.App.4th 1276, 1288.) The minimum requirements for arbitration applicable to FEHA claims are apposite to some other claims. (Mercuro v. Superior Court (2002) 96 Cal.App.4th 167, 180, fn. 26 [Armendariz

scrutiny also applies to non-FEHA employment claims]; *Independent Ass'n of Mailbox Center Owners, Inc. v. Superior Court* (2005) 133 Cal.App.4th 396, 414-416 [Armendariz fee-shifting inapposite to common law claims but applies on case-by-case basis where statutory right must be involved that invokes rights not just for benefit of individuals but for public purpose]; *Boghos v. Certain Underwriters at Lloyd's of London* (2005) 36 Cal.4th 495, 501 [Armendariz inapplicable to common-law contract claim related to insurance statute]; *Parker v. McCaw* (2005) 125 Cal.App.4th 1494, 1507 [Armendariz scrutiny inapplicable where no FEHA claims raised, and employee was sophisticated with equal bargaining power].) Claims brought under the Fair Employment and Housing Act (FEHA) are subject to arbitration, if there are provisions for arbitrator neutrality, discovery, written decisions, and expense limits. (*O'Hare v. Municipal Resource Consultants* (2003) 107 Cal.App.4th 267, 273; *Fittante v. Palm Springs Motors, Inc.* (2003) 105 Cal.App.4th 708, 716; *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 96-121.)

If it applies, both procedural and substantive unconscionability must be present, with the former involving oppression or surprise due to unequal bargaining power, and the latter involving overly harsh or one-sided results. (*Cook v. University of Southern California* (2024) 102 Cal.App.5th 312, 320.) Circumstances indicating unconscionability and oppression include (1) time the party was given to consider the agreement, (2) extent and type of pressure exerted to sign, (3) length of the contract and length and complexity of challenged provisions, (4) education and experience of the party, and (5) agreement review aided by counsel. (*Mills v. Facility Sols. Grp., Inc.* (2022) 84 Cal.App.5th 1035, 1051.)

Here, Defendant sufficiently placed the arbitration agreement before the Court, but Plaintiff failed to meet the burden to file any evidence to contest formation of that contract, beyond merely contesting the preliminary showing via the memorandum of points and authorities.

Additionally, the Lease Agreement expressly and clearly designates Defendant as being a third-party-beneficiary, such that Defendant need not have been a party to that agreement to have standing to enforce it. (See Ali Ameripour Declaration, filed 6/8/26, Exhibit 2, p. 4.) Thus, Defendant need not rely upon equitable estoppel to enforce the agreement— a distinguishable issue extensively addressed in prior

Lemon Law cases.

As for unconscionability, Plaintiff filed no declaration or other proof to meet the burden to show any factual circumstances of the leasing in support of procedural unconscionability. And Plaintiff's reference to the entire agreement as one-sided in favor of Defendant, is not to address any cognizable aspect of substantive unconscionability or to focus upon any particular provision. Considered as a whole, the agreement would benefit Plaintiff by faster and cheaper resolution. "California law reflects a strong public policy in favor of arbitration as a relatively quick and inexpensive method for resolving disputes." (*Acquire II, Ltd. v. Colton Real Est. Grp.* (2013) 213 Cal.App.4th 959, 967.)

Regarding waiver, Plaintiff cites no authority holding that the Initial Disclosure statutory provisions somehow equate with a waiver of arbitration. "A legal proposition asserted without apposite authority necessarily fails." (*People v. Taylor* (2004) 119 Cal.App.4th 628, 643.) "Contentions are waived when a party fails to support them with reasoned argument and citations to authority." (*Moulton Niguel Water Dist. v. Colombo* (2003) 111 Cal.App.4th 1210, 1215.)

Generally speaking, courts construe statutes with reference to the entire system of law, to harmonize, while avoiding anomalies. (E.g., *Hohenshelt v. Superior Court* (2025) 18 Cal.5th 310, 332.) Here, the concept of waiver of arbitration is not addressed in the statute addressing prefiling requirements, restitution and replacement. "A manufacturer may elect to be governed by this chapter for all actions described in subdivision (a) of Section 871.20 with respect to all of the manufacturer's motor vehicles sold..." (Code Civ. Proc., § 871.29, subd. (a)(1). See also generally Cal. Judges Benchbook Civ. Proc. Before Trial § 12.24.) Indeed, the statutory provisions at issue actually encourage arbitration. "A prelitigation dispute as to attorney's fees and costs shall be resolved by neutral, binding arbitration. A dispute as to the amount of attorney's fees and costs shall not, by itself, be a sufficient basis to show that the manufacturer's offer is out of compliance with this section." (Civ. Proc. Code § 871.24, subd. (f).)

IV.

CONCLUSION

Accordingly, the Court grants
the Motion, for reasons stated.